

Agenda Item 6 (Supplement B)

Aspects of ISAs that are Difficult to Apply with Audits of LCEs

This table below provides further details and aspects of ISAs that respondents to the Discussion Paper found difficult to apply in LCE audits.

ISAs	Description	Area of Difficulty
ISQC 1¹ & ED-ISQM 1-2²		
ISQC 1 & ED-ISQM 1-2	<i>General Considerations</i>	In respect of the ISQC 1 and ED-ISQM 1-2, respondents expressed the following concerns: • These standards may present challenges to small practices in terms of developing scaling solutions that are appropriate to the size of the practice, recognizing that many policies and procedures will be less formal; • Most of the guidance for small practices is included at the end of the Application Material which indicates that auditors of smaller firms will have to navigate through what they will perceive as complex requirements and guidance; • If the IAASB decision is made to develop a single standard for the audits of LCEs, consideration will also need to be given to how such standard interacts with the quality management standards and whether a more streamlined approach to quality management may be appropriate for assurance practices that only perform LCE audits; and • Respondents expressed views that the requirements of ED-ISQM 2 may not be applicable for LCE audits as these standards are directed principally at listed entities.
ISA 200³		
ISA 200, Paragraphs 22-23	<i>Complying with Relevant Requirements</i>	These paragraphs state that the auditor has to comply with each ISA requirement unless it is conditional. Respondents expressed views that these requirements indirectly affect how the documentation requirements are being perceived and

¹ ISQC 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements and Other Assurance and Related Services Engagements*

² The EDs are: ED-ISQM 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* and ED-ISQM2, *Engagement Quality Reviews*

³ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

ISAs	Description	Area of Difficulty
		applied and in order to avoid unnecessary documentation, it would be helpful to clearly state in the ISAs that where the auditor has evaluated a requirement not to be applicable in a particular audit based on their professional judgement, the auditor does not have to document every such assessment.
ISA 230⁴		
ISA 230 Paragraph 3	<i>Purpose of Audit Documentation</i>	This paragraph states that among other, audit documentation serves the purpose to enable the conduct of external inspections in accordance with applicable legal, regulatory and other requirements. Respondents expressed opinions that in some jurisdictions, it may lead LCE auditors to prepare extensive and unnecessary documentation as to, for example, why a matter is not considered to be significant; why a particular course of action was not taken by the auditor, including how the auditor exercised professional skepticism and professional judgement in connection with these determinations.
ISA 230 Paragraph 8	<i>Meaning of “Experienced Auditor”</i>	Respondents found that there is lack of clarify as to the meaning of “ <i>experienced auditor....to understand</i> ” as defined in this paragraph and the Glossary of Terms, in respect of whether documentation should be sufficiently extensive to enable another auditor to replicate the audit entirely, or rather to obtain a higher level understanding of the procedures actually performed and the results of such procedures. It was suggested by respondents that further clarity should be provided as to the extent of documentation that an LCE auditor is expected to produce.
ISA 230 Paragraph A16	<i>Considerations Specific to Smaller Entities</i>	Although this paragraph states that audit documentation for the audit of a smaller entity is generally less extensive than that for the audit of a larger entity, respondents thought there is lack of clarity as to as to the extent of audit documentation required which creates a risk of either insufficient documentation or too much documentation in audits of LCEs.
ISA 240⁵		
ISA 240 Paragraph 13	<i>Professional Skepticism</i>	This paragraph requires that the auditor shall maintain professional skepticism throughout the audit, recognizing the

⁴ ISA 230, *Audit Documentation*

⁵ ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

ISAs	Description	Area of Difficulty
		possibility that a material misstatement due to fraud could exist, notwithstanding the auditor's past experience of the honesty and integrity of the entity's management and those charged with governance. As maintaining professional skepticism is an overall requirement of ISA 200 and the IESBA Code of Ethics, respondents expressed views that further clarity is required on what actions should the auditor fulfill to prove that they applied professional skepticism throughout the audit.
ISA 240 Paragraphs 17-18	<i>Inquiries of Management</i>	Respondents thought that the close involvement of owners in the financial aspects of an LCE means that some of the inquiries suggested can be burdensome in entities with few employees.
ISA 240 Paragraph 27	<i>Presumption of Risk in Revenue Recognition</i>	Respondents indicated that this requirement is challenging to apply to audits of entities that have a single source of revenue (for example a government grant) that is not susceptible to fraudulent financial reporting. Although rebuttal of the presumed risk of fraud is permitted, the work effort to support and document the rebuttal is not well understood and believed by some to be a high hurdle to meet.
ISA 240 Paragraph 30(c)	<i>Incorporating an Element of Unpredictability in the Selection of Procedures</i>	Respondents indicated that the requirement to incorporate an element of unpredictability in the design and selection of the nature, timing and extent of audit procedures can be challenging when taking a fully substantive audit approach, where many (if not all) transactions and balances are examined. In such circumstances, respondents thought it can be difficult to determine what may be an effective unpredictability procedure and called for further guidance on what constitutes "unpredictable" audit procedures in a non-complex situation.
ISA 240 Paragraph 32	<i>Unique Position of Management to Perpetrate Fraud</i>	Respondents provided comments that this paragraph does not present a requirement and therefore could not be fulfilled.
ISA 240 Paragraph 33(a)	<i>Journal Entry Testing</i>	Respondents expressed views that the requirement to test the appropriateness of journal entries, both at period end and throughout the period is not well understood when a fully substantive audit approach is taken. More specifically respondents commented that:

ISAs	Description	Area of Difficulty
		- When many of the entity's journal entries have already been tested as part of the substantive audit approach, it is not clear how much additional testing is required; - It can be challenging to determine an appropriate extent of journal entries testing in LCE audits when there are limited fraud risk criteria identified and non-complex systems are used, therefore further guidance could be helpful; and - It would be beneficial to better articulate why such a procedure is undertaken allowing practitioners to recognize the value achieved of testing general journals as a method to address risk of material misstatement due to fraud and to conduct their work in the right spirit rather than by performing procedures with a compliance mindset.
ISA 240 Paragraph A65	<i>Communications with Those Charged with Governance</i>	Respondents commented that effective communication of identified fraud may be challenging for auditors of LCEs due to the cost-benefit assessment of obtaining legal advice as suggested in this paragraph.
ISA 250 (Revised)⁶		
ISA 250 (Revised) Paragraphs 13-14	<i>Auditor's Considerations of Compliance with Laws and Regulations</i>	Respondents commented that in the context of LCE audits these requirements often become a documentation exercise not frequently revisited or linked into the audit work and are often associated with either too much detail being documented or only a very high-level identification of general regulations being outlined. Respondents expressed views that as LCEs will often operate in a non-complex regulatory environment the standard should provide guidance on a suitable level of documentation to be applied to such audits.
ISA 250 (Revised) Paragraphs 19-22	<i>Audit Procedures when Non-Compliance is Identified or Suspected</i>	Respondents expressed views that the nature and extent of audit procedures to be performed in identifying instances of non-compliance with laws and regulations in the context of LCEs are extensive and do not appear scalable.
ISA 260 (Revised)⁷		

⁶ ISA 250 (Revised), *Consideration of Laws and Regulations in an Audit of Financial Statements*

⁷ ISA 260 (Revised), *Communication with Those Charged with Governance*

ISAs	Description	Area of Difficulty
ISA 260 (Revised) Paragraphs 14-17	<i>Frequency and Substance of Communications with TCWG</i>	Respondents expressed views that the extent of the matters that need to be communicated as required by the standard are extensive and do not account for the circumstances of LCEs who often have less formal oversight structures with a one-tier management structure, and/or where a board of directors does not exist or meets infrequently. Respondents commented that the definitions on those charged with governance and the matters that are to be communicated in LCE audits should be supplemented with further examples and guidance.
ISA 260 (Revised) Paragraph A40	<i>Considerations Specific to Smaller Entities</i>	Respondents commented that these considerations for smaller entities which allow communication to those charged with governance for smaller entities to be less structured than those for larger or listed entities, lack the needed clarity as to how the requirements should be actually adapted.
ISA 265⁸		
ISA 265 Paragraph 9	<i>Communicating Deficiencies in Internal Control</i>	Respondents expressed views that because LCEs often have weak internal control systems these significant control deficiencies within the LCEs context may often require written communication to those charged with governance.
ISA 300⁹		
ISA 300 Paragraph 9	<i>Developing and Documenting the Audit Plan</i>	Respondents raised concern that in the LCE audit more time is spent on the formalization of procedures than on their implementation and that it can be difficult to develop an audit plan that includes a description of the nature, timing and extent of planned risk assessment procedures at the prerequisite level, as defined in ISA 330. Respondents also thought that documenting the planning procedures in terms of its scope can be time-consuming and impractical, as further audit working papers show the extent of procedures performed to obtain appropriate audit evidence.
ISA 300 Paragraph A11	<i>Considerations Specific to Smaller Entities</i>	Respondents commented that it is important to have more LCE specific guidance that could assist scalability of these requirements as for example, these considerations specific to smaller entities make reference to simplification in the preparation of a brief memorandum, however, respondents

⁸ ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*

⁹ ISA 300, *Planning an Audit of Financial Statements*

ISAs	Description	Area of Difficulty
		thought it would be beneficial if an example of such a memorandum be provided for LCE audits.
ISA 315 (Revised)¹⁰		
ISA 315 (Revised) Paragraph 6(b)	<i>Performing Analytical Procedures as a Risk Assessment Procedure</i>	Respondents commented that the risk assessment analytics are often a documentation exercise within LCE audits for the following reasons: • The initial trial balance on which the risk assessment analytics are performed is often subject to many closing adjustments as the financial statements are finalized (e.g. cut off adjustments) and therefore may not be adequate; and • The financial statements may be very simple, for example, may comprise of a single asset or of only a few classes of transactions and account balances. While respondents acknowledged that the guidance in ISA 315 (Revised) provides considerations specific to smaller entities, they expressed views that it does not allow enough flexibility for the auditor to decide not to perform the procedure or decide to combine the procedure with the final analytical procedures.
ISA 315 (Revised) Paragraph 13	<i>Risk Assessment Procedures in Addition to Inquiry</i>	This paragraph requires the auditor to perform procedures in addition to inquiry, when obtaining an understanding of controls relevant to the audit. Respondents thought that inquiry alone should be sufficient to obtain the relevant understanding when undertaking a fully substantive audit approach.
ISA 315 (Revised) Paragraphs 14-19 and 22-24	<i>Understanding Internal Controls</i>	These paragraphs require the auditor to obtain an understanding of the components of internal control. Overall, respondents thought that the requirements in these sections are too granular and not reflective of a less complex environment as such an environment is typically less formal and more focused on monitoring and oversight controls than on process controls. Further, respondents expressed views that this section seems onerous in circumstances where a fully substantive approach is undertaken.

¹⁰ ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*

ISAs	Description	Area of Difficulty
		Paragraph 14 requires the auditor to understand the control environment including whether management has created and maintained a culture of honesty and ethical behavior and whether the control environment elements provide an appropriate foundation for the other components of internal control. Respondents thought that for owner managed entities, obtaining evidence of how a culture of honesty and ethical behavior is maintained can be significantly more challenging compared to larger entities who maintain a stronger audit trail of verifiable evidence and for smaller entities this is usually based on management's representation that a culture of honesty and ethical behavior is promoted and maintained. Respondents expressed views that this feature of a smaller entity audit can often lead the engagement team to an assessment of the control environment as "weak" and they are aware of the control deficiencies before an overall assessment of the system of internal control and control activities is performed. Given these circumstances, respondents thought that to execute the entire risk assessment process is onerous and that by adapting the extant ISA requirements for a smaller and/or LCE audit would help mitigate the present compliance approach.
ISA 315 (Revised) Paragraph 18 and 21	<i>Responding to Risks Arising from IT</i>	Respondents expressed views that these requirements are challenging in determining the appropriate extent of procedures required in order to understand the relevant control activities and General IT controls. Respondents thought this is especially important when the entity's system of internal control and information system is non-complex (for example an off-the-shelf system) and when there is limited formal documentation supporting relevant controls. Comments were provided that the lack of appropriate understanding of the requirements may drive an auditor to carry out more work than is necessary, including in relation to evaluating IT systems.
ISA 315 (Revised) Paragraphs A49, A57 and A58	<i>Considerations Specific to Smaller Entities</i>	Respondents expressed views the considerations for smaller entities in the application material need further clarity and guidance as to how they may apply in the audit of an LCE, including: • Paragraph A49 indicates that there may be an increased risk in smaller entities as a result of absence of performance measurement and review which may indicate an increased risk of

ISAs	Description	Area of Difficulty
		misstatements not being detected and corrected but does not provide further guidance in the context of an LCE audit; Paragraph A57 explains that a more effective oversight by an owner-manager may compensate for the generally more limited opportunities for segregation of duties in a smaller entity. Further, paragraph A58 adds that the owner-manager may be able to override controls because the system of internal control is less structured. Respondents found it unclear how these two characteristics with opposing impacts on reliability of an entity's system of internal controls should inform auditors' risk assessment and work effort. Also, respondents expressed views that it is very hard to objectively evaluate management's effective oversight (especially given the often informal and undocumented nature of such oversight), which means it is unlikely auditors would place reliance on this feature.
ISA 315 (Revised) Paragraphs A79 and A85-A87	<i>Audit Evidence for Elements of the Control Environment</i>	Given that smaller entities or LCEs may have no written code of conduct respondents found lack of clarity and guidance provided on how much evidence can an auditor consider appropriate, considering that inquiry alone may be insufficient and as audit evidence is obtained from a combination of inquiries and other procedures such as observation.
ISA 315 (Revised) Paragraph A129	<i>Assertions about Classes of Transactions, Account Balances and Related Disclosures</i>	Respondents expressed views that there is uncertainty whether the assessment of risks of material misstatement at the assertion level means that the assessment has to be performed for each assertion for all material classes of transactions, account balances and disclosures. Further, respondents thought that the root cause is that the requirement in the standard is not clear and the application material is ambiguous, and clarification in the standard is needed to enhance understanding that when identifying and assessing the risk of material misstatement at assertion level each individual assertion must be considered.
ISA 320¹¹		

¹¹ ISA 320, *Materiality in Planning and Performing an Audit*

ISAs	Description	Area of Difficulty
ISA 320 Paragraphs 4 and 10	<i>Professional Judgment</i>	Given that the determination of materiality involves the use of professional judgement there appears to be diversity in practice when determining materiality benchmarks and rules of thumb with LCE audits, and respondents commented that additional guidance and/or illustrative examples would be helpful to acknowledge how users of the financial statements may differ, and how this may affect judgments about materiality in LCE audits. For example, respondents expressed views that additional application guidance would be useful to address circumstances where there are a very limited number of users of the financial information (e.g., local authorities and management).
ISA 330¹²		
ISA 330 Paragraphs 8-17	<i>Test of Controls</i>	Respondents commented that when LCEs are audited, it is more likely for the auditor to choose an audit strategy including dominance of substantive procedures and tests of details, rather than tests of controls as general audit responses.
ISA 330, Paragraph 10(b)	<i>Indirect Controls</i>	Respondents commented that it is difficult to determine the appropriate nature and extent of testing of “indirect” general IT controls, especially when the entity uses non-complex “off-the-shelf” systems that they cannot modify and called for more guidance and examples which can be helpful to clarify the nature and extent of tests of controls for entities that use packaged software applications (off-the-shelf systems).
ISA 300, Paragraph 18	<i>Obligation to Test a Material Balance</i>	Respondents found the requirement to test a material balance even if there is no risk of material misstatement in the auditors’ judgement as difficult to apply with LCE audits.
ISA 402¹³		
ISA 402 Paragraph 16	<i>Expectation that the Controls at the Service Organization are Operating Effectively</i>	Respondents expressed views that in practice many smaller entities use outsourced service providers for their payroll and secretarial functions. Respondents commented that when the auditor’s risk assessment includes an expectation that the controls at the service organization are operating effectively there are

¹² ISA 330, *The Auditor’s Responses to Assessed Risks*

¹³ ISA 402, *Audit Considerations Relating to an Entity Using a Service Organization*

ISAs	Description	Area of Difficulty
		burdensome and onerous requirements, especially when a type 2 report is not available. Respondents also indicated that as the use of external providers of IT solutions, including cloud-based services, will undoubtedly increase for smaller entities, this is a specific area where the onerous requirements will become even more extensive with respect to the relative impact they have on the audit of a smaller entity.
ISA 500¹⁴		
ISA 500 Paragraph 6 and A10	<i>Data Analytics</i>	Respondents commented that there is lack of clarity over the use of Data Analytics and similar technologies which may provide high quality audit evidence for all entities, including LCEs. More specifically, respondents thought that clarity is needed whether data analytics techniques provide substantive audit evidence or are risk assessment tools which may be useful in identifying transactions at greater risk.
ISA 500 Paragraph 8	<i>Use of a Management's Expert</i>	Respondents found it unlikely that these requirements would be applicable, as it would not be usually expected that management at an LCE has used a management's expert.
ISA 500	<i>Information Provided by the Entity</i>	Respondents found that it is often impractical or inefficient to use substantive analytical procedures as a method to obtain audit evidence with LCE audits as, for example, there is often very limited information available that can be obtained from independent sources outside of the entity in the LCE context. In such circumstances, the respondents thought there is a need for further clarity and guidance as auditors of LCEs may be restricted to use the information prepared by the entity as a primary source of evidence and considering that the operating effectiveness of controls over preparation of the information by the entity may have significant deficiencies.
ISA 500	<i>Audit Assertions</i>	Respondents expressed views that the audit assertions are important but often not understood properly by the auditor which indicates the possibility that not all the assertions are properly addressed, and that additional guidance may be required in this respect.

¹⁴ ISA 500, *Audit Evidence*

ISAs	Description	Area of Difficulty
ISA 510¹⁵		
ISA 510	<i>Specific Considerations for Smaller Entities</i>	Respondents commented that in the case of first time audit engagement of LCEs, the audit work on the opening data and information becomes more complex due to an environment with poor internal controls and therefore, additional guidance should be provided to the auditor of an LCEs to identify and assess the potential risks of prior periods material misstatements with a focus on detection of any such risks.
ISA 520¹⁶		
ISA 520 Paragraphs 5(d) and A16	<i>Determining the Amount of the Acceptable Difference from Expected Values</i>	Respondents expressed views that in LCE audits it may be difficult to determine the amount of difference from the expectation and that in many cases the requirements of the standard are not fully met, as they require significantly more documentation (an independent expectation and substantive corroboration). Further, respondents considered that the application of substantive analytical procedures in LCEs to identify the areas of risk for the audit, may not be easy due to the lack of accounting data that are complete and consistent with comparative data of prior periods.
ISA 530¹⁷		
ISA 530 Paragraph 7	<i>Sample Size</i>	In respect of sample size respondents provided the following comments: - For audits of LCEs, the extent of audit testing tends to be more judgmental. As LCEs generally have less transactions or account balances, auditors found it more efficient to perform audit testing judgmentally, based on past experience or their understanding of the LCEs rather than reference to a pre-set materiality or sample size; and - The extant guidance and standards don't describe specified requirements on sample sizes, thus the policy on sample sizes varies from firms to firms. Audits failing to meet the sample sizes demanded by respective accounting firms' internal guide might be

¹⁵ ISA 510, *Initial Audit Engagements—Opening Balances*

¹⁶ ISA 520, *Analytical Procedures*

¹⁷ ISA 530, *Audit Sampling*

ISAs	Description	Area of Difficulty
		found as “problematic” in regulatory reviews, which hinders auditors from decreasing sample sizes tailored to the circumstance of respective entities, based on their professional judgments.
ISA 530 Paragraph 8	<i>Sampling Methods</i>	In respect of sampling techniques respondents provided the following comments: • Audit sampling methods need further guidance due to less technology available with the auditors generally auditing LCEs; • Audit sampling techniques and procedures are similar for both LCEs and larger entity audits. A question was raised if this is appropriate and if different techniques should be considered for LCEs; and • Additional application guidance on how to develop judgmental sample sizes would be beneficial for audits of LCEs, for which such sampling may be a more efficient approach in certain cases. For example, when using judgmental sampling, professional judgment should be able to be applied, along with consideration of factors such as the understanding of the entity's business, risk assessments, and the characteristics of the population tested to determine an appropriate sample size to understand the population and conclude that a material misstatement does not exist.
ISA 530 Appendices 2 and 3	<i>Effects on Sample Size</i>	Given that ISA 530 indicates that when the circumstances are similar, the effect on sample size of identified factors such as those identified in Appendices 2 and 3 will be similar regardless of whether a statistical or non-statistical approach is chosen, respondents thought that this statement may imply that the auditor needs to reconcile between the two approaches.
ISA 540 (Revised)¹⁸		
ISA 540 (Revised) Paragraph 3	<i>Nature of Accounting Estimates</i>	Respondents expressed views that the statement in the standard that risk assessment procedures for certain types of lower risk estimates need not be extensive is helpful, but not sufficient in the face of the highly detailed requirements that

¹⁸ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

ISAs	Description	Area of Difficulty
		follow, particularly those relating to controls and the attempts to distinguish between complex and less complex estimates. Respondents thought that the standard is written to address very complex transactions with high estimation uncertainty (e.g. expected credit losses, financial instruments, hedging transactions, and stock compensations) which would not apply for LCEs which have less complex and straightforward transactions supported by historical data and supporting documentation for key assumptions (e.g. valuation allowances, fixed asset impairments, and the allowance for doubtful accounts). In addition, views were expressed that most estimates do not have the complexity of fair value assessments or forward-looking information but many of the requirements, while in theory relevant to all estimates, are only applicable at such a high level to simpler estimates that they often seem peripheral.
ISA 540 (Revised) Paragraph 14	<i>Reviewing the Outcome of Re-Estimation of Previous Accounting Estimates</i>	In respect of a retrospective review respondents expressed views that as the requirement is cumbersome, it is not well understood by auditors of LCEs what such procedure is designed to achieve and that on a simple estimate such requirement may not be needed to perform appropriate risk assessment procedures.
ISA 540 (Revised) Paragraph 21	<i>Obtaining Audit Evidence from Events Occurring up to the Date of the Auditors Report</i>	Views were expressed that the requirements in relation to accounting estimates place too much emphasis on the auditing of a process to establish the estimates. In practice in many audits a review of what actually happened post-balance sheet and simply the reasonableness of the estimates will be the most effective approach.
ISA 540 (Revised) Paragraph A31	<i>Management's Application of Specialized Skills or Knowledge, including the use of Management's Experts</i>	Although paragraph A31 highlights certain circumstances which auditors may consider that increase the likelihood that management needs to engage an expert, including estimates of specialized nature (such as mineral or hydrocarbon reserves) and models of complex nature, respondents expressed views that certain LCEs may even find difficulties in estimates which are less complex as they may not have the expertise to determine an appropriate approach/model and the necessary key inputs (such as WACC). Further, such LCEs may also not be willing to incur resources in engaging external experts. There may also be an expectation for auditors to advise on the appropriate adjustment to the estimates recorded which could result in the burden of ensuring the

ISAs	Description	Area of Difficulty
		appropriateness of the estimates to fall on the auditor's shoulders. Consequently, respondents commented that auditors may find themselves in a position of potentially compromising independence requirements for assuming management's responsibilities.
ISA 540 (Revised) Paragraph A128	<i>External Information Sources</i>	Respondents called for additional guidance to be provided in respect of the following: • Evaluation of management bias; and • Examples of point and range estimates to challenge the reasonableness of estimates made by management.
ISA 550¹⁹		
ISA 550 Paragraphs 13, 14 and A11	<i>Identification of Related Parties</i>	These paragraphs presume that management has identified its related parties and is likely to have a comprehensive list of such related parties and has also established controls to ensure that this information is complete. Respondents commented that in practice this is seldom the case and instead management will be able to identify disclosable transactions and balances, but the starting point would not be the establishment of a full list of related parties. As a result, respondents thought that instead of obtaining a complete list of related parties as a starting point of the relevant audit work, in practice a more efficient approach would be to focus on transactions which may not have been concluded under normal commercial terms and then consider whether such transactions may have been with related parties.
ISA 570 (Revised)²⁰		
ISA 570 (Revised) Paragraphs 12, A8-A10, A12-A13	<i>Evaluating Management's Assessment of the Entities Ability to Continue as a Going Concern</i>	The requirement to evaluate management's assessment of the entity's ability to continue as a going concern was considered as problematic by respondents as this assumes that the entity has the capability and capacity to make a going concern assessment which may not always be the case for LCE audits. In particular respondents noted the following conditions: • In many instances, the management of smaller entities do not prepare a detailed assessment of the

¹⁹ ISA 550, *Related Parties*

²⁰ ISA 570 (Revised), *Going Concern*

ISAs	Description	Area of Difficulty
		entity's ability to continue as a going concern and as a result the auditor is placed in a difficult situation where they need to compensate for lack of management capabilities to produce such information; - For many LCE audits, there may be no formal forecasts and budgets to support the directors' assessment of going concern. As a result, audit teams can fail to adequately probe the risks or will rely simply on verbal representations from the directors as there is a lack of other evidence; and - Additional criteria should be provided that auditors of LCEs can apply in evaluating management assessment of the LCE's ability to continue as a going concern.
ISA 580²¹		
ISA 580 Paragraph 4	<i>Necessary Audit Evidence</i>	Respondents commented that as written representations on its own do not provide sufficient appropriate audit evidence, in an LCE audit there may be lack of documentary evidence put in place by the management and therefore the auditors may find it challenging to corroborate the management representation with other sources of information (for example, in determining the fair value of a simple investment in non-quoted entities whereby information may be limited). Respondents thought that this poses challenges to the practitioner to obtain sufficient appropriate audit evidence as required by ISA 500 and that additional guidance is required.
ISA 600²²		
ISA 600 Paragraphs 17-18	<i>Understanding the Group, Its Components, and Their Environment</i>	Respondents did not foresee changes to the overall framework and the audit approach in respect of group audits but recommend taking a more targeted and scaled down approach for less complex groups. For example, respondents commented that in less complex audits where the parent company and subsidiaries have all been audited by the same firm, the "top-down" risk-based approach required by ISA 315 can result in duplication of effort and documentation when combined with the ISA 600 'bottom-up' approach. Respondents thought that the interaction of ISA 315 and ISA

²¹ ISA 580, *Written Representations*

²² ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of the Component Auditor)*

ISAs	Description	Area of Difficulty
		600 could be much clearer for audits of less complex groups in which one firm audit all the group companies within a single jurisdiction.
ISA 600 Paragraphs 19-20	<i>Understanding the Component Auditor</i>	Respondents commented that the current standard includes requirements related to the communication, monitoring, and supervision of component auditors that goes beyond what is necessary for a less complex group, as the inherent simple nature of components of a less complex group should mean that the required monitoring and supervision of the component auditor can be less frequent and extensive.
ISA 610 (Revised 2013)²³		
ISA 610 (Revised 2013)	<i>Using the Work of Internal Auditors</i>	Respondents expressed views that the requirements of this standard may often not be applicable for LCE audits as many do not have an in-house or outsourced internal audit function.
ISA 620²⁴		
ISA 610	<i>Using the Work of An Auditor's Expert</i>	Respondents expressed views that the requirements of this standard may often not be applicable for LCE audits.
ISA 700 (Revised)²⁵		
ISA 700 (Revised)	<i>Forming an Opinion and Reporting on Financial Statements</i>	In respect of the Auditors' Report, respondents identified the following matters: - The increasing complexity of the audit report and the need to understand four standards around auditors' reporting (ISA 700,701,705,706); - Simplified reporting for LCEs would help to make audit reports and associated communications more accessible to end users, who in general tend to be less sophisticated in their understanding of audit and financial reporting than those of larger and more complex entities. Further, respondents expressed views that overly complex audit reports for LCEs do not add to the perception that the audit is useful or providing value.
ISA 701²⁶		

²³ ISA 610 (Revised 2013), *Using the Work of Internal Auditors*

²⁴ ISA 620, *Using the Work of an Auditor's Expert*

²⁵ ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*

²⁶ ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*

ISAs	Description	Area of Difficulty
ISA 701	<i>Communicating Key Audit Matters</i>	Respondents expressed views that the requirements of this standard may not be applicable for LCE audits as this standard is directed principally at listed entities.
ISA 720 (Revised)²⁷		
ISA 720 (Revised)	<i>Auditor's Responsibilities Relating to Other Information</i>	Respondents expressed views that the requirements of this standard may not be applicable for LCE audits as this standard is directed principally at listed entities.

²⁷ ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*